# 23STCV23677 23STCV23677

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-08-04

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Case Number: 23STCV23677 Hearing Date: August 4, 2026 Dept: 11

Olmos

v. Dependable Highway Express, Inc.

MOTION FOR PRELIMINARY APPROVAL OF CLASS

ACTION SETTLEMENT

Date of Hearing: August 4, 2026

c/f January 28, 2026

Department: SSC-11

Case No.: 23STCV23677

TENTATIVE

RULING

Grant.

PRELIMINARY

APPROVAL OF CLASS ACTION SETTLEMENT

As a "fiduciary" of the absent class members, the trial court's duty is to have before it sufficient information to determine if the settlement is fair, adequate, and reasonable. (7-Eleven Owners for Fair Franchising v. The Southland Corp. (2000) 85 Cal.App.4th 1135, 1151, citing Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1801, 1802 ("Dunk").)

California Rules of Court, rule 3.769 governs settlements of class actions. Any party to a settlement agreement may submit a written notice for preliminary approval of the settlement. The settlement agreement and proposed notice to class members must be filed with the motion, and the proposed order must be lodged with the motion. California Rules of Court, rule 3.769(c).

In determining whether to approve a class settlement, the court's responsibility is to "prevent fraud, collusion or unfairness to the class" through settlement and dismissal of the class action because the rights of the class members, and even named plaintiffs, "may not have been given due regard by the negotiating parties." (Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America (2006) 141 Cal.App.4th 46, 60.)

FAIRNESS OF THE SETTLEMENT AGREEMENT

In an effort to aid the Court in the determination of the fairness of the settlement, Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 244-245 ("Wershba"), discusses factors that the Court should consider when testing the reasonableness of the settlement.

A presumption of fairness exists where: 1) the settlement is reached through arm's length bargaining; 2) investigation and discovery are sufficient to allow counsel and the Court to act intelligently; 3) counsel is experienced in similar litigation; and 4) the percentage of objectors is small. (Wershba at 245, citing Dunk at 1802.) The test is not the maximum amount plaintiff might have obtained at trial on the complaint but, rather, whether the settlement is reasonable under all of the circumstances. (Wershba at 250.)

In making this determination, the Court considers all relevant factors including "the strength of [the] plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.'" (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 128 ("Kullar"), citing Dunk at 1801.)

"The fact that a proposed settlement may only amount to a fraction of the potential recovery does not, in and of itself, mean that the proposed settlement is grossly inadequate and should be disapproved." (City of Detroit v. Grinnell Corporation (2d Cir. 1974) 495 F.2d 448, 455; see also Linney v. Cellular Alaska Partnership (9th Cir. 1998) 151 F.3d 1234, 1242 ("[I]t is the very uncertainty of outcome in litigation and avoidance of wasteful and expensive litigation that induce consensual settlements. The proposed settlement is not to be judged against a hypothetical or speculative measure of what might have been achieved by the negotiators.")

TERMS OF SETTLEMENT AGREEMENT

"Class" means all non-exempt, hourly-paid employees who worked as warehouse workers and were directly hired by Defendant to work for Defendant in California during the Class Period. The Class expressly excludes any and all other non-warehouse workers or employees placed to work for Defendant by a staffing agency or a professional employer organization . (Settlement, ¶1.5)

"Class Period" means the period from September 29, 2019 through March 1, 2025. (¶1.12)

"Aggrieved Employees" means all non-exempt, hourly-paid employees who worked as warehouse workers and were directly hired by Defendant to work for Defendant in California

during the PAGA Period. Aggrieved Employees expressly excludes any and all other non-warehouse workers or employees placed to work for Defendant by a staffing agency or a professional employer organization. (¶1.4)

"PAGA Period" means the period from September 29, 2022 through the end of the Class Period. (¶1.31)

Defendant represented that there were no more than 10,659 Workweeks during the Class Period, as of August 3, 2024. The Parties agreed that in the event the number of Workweeks during the Class Period increased by more than 10%, or 1,066 Workweeks, then, at Defendant's option, either: (1) the Gross Settlement Amount shall be increased on a pro rata basis per Workweek exceeding the 10% increase (for example, if the number of Workweeks increases by 11%, the Gross Settlement Amount shall increase by 1%), or (2) the end date of the Class Period will be set at the date at which the 10% threshold was reached. Defendant has chosen option (2) above and the end date of the Class Period will be March 1, 2025 and the total Workweeks in the Class Period will be 11,695 which is under the cap amount of 11,725 Workweeks (10,659 + 1,066). No further changes to the Class Period or the total Workweek count are anticipated. Defendant shall provide the Class Data to the Settlement Administrator no later than 2 weeks following execution of this Agreement to determine the total number of Workweeks during the Class Period. (¶8.1)

The Parties stipulate to class certification for settlement purposes only. (¶12.1)

The Gross Settlement Amount ("GSA") is $500,000, non-reversionary. (¶3.1)

The Net Settlement Amount ("NSA") of $263,750 is the GSA minus:

Up to $166,666.67[1] (33%) for attorneys' fees; (Notice, pg. 3; Order, ¶7);

Up to $30,000 for attorneys' costs (Ibid.);

Up to $7,500 for an Enhancement Payment to the class representative (¶3.2.1.);

Up to $5,000 for costs of settlement administration (¶3.2.3); and

Payment of $18,750 (75% of $25,000 PAGA penalty) to the LWDA (¶3.2.5).

Defendant will separately pay for employer payroll taxes, which is not included in the Gross Settlement Amount. (¶3.1)

Funding of the Settlement: Defendant shall fully fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than 14 days after the Effective Date. (¶4.3)

Payments from the Gross Settlement Amount: Within 14 days after Defendant funds Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (¶4.4)

No Claim Requirement. Class Members shall not be required to submit a claim form in order to receive an individual settlement payment. (¶3.1)

Calculation of Individual Settlement Payments: An Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's number of Workweeks. (¶3.2.4.) Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (¶3.2.4.2)

· Tax Allocation: 20% as wages; 80% as interest and penalties. (¶3.2.4.1)

PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties ($6,250.00) by the total number of PAGA Pay Periods worked by all Aggrieved Employees and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Period. (¶3.2.5.1) If the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (¶3.2.5.2)

· Tax Allocation: 100% penalties. (Ibid.)

"Response Deadline" means forty-five (45) days after the Administrator mails Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) mail Requests for Exclusion from the Settlement, or (b) mail his or her Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional fifteen (15) days beyond the Response Deadline has expired.
(¶1.43) The same deadlines apply to workweek challenges. (¶7.7)

· If the number of valid Requests for Exclusion exceeds 10% of the total of all Class Members, Defendant may elect to withdraw from the Settlement. (¶9)

Uncashed Checks: The Administrator will cancel all checks not cashed by the void date (not less than 180 days after the date of mailing). (¶4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California State Controller's Office, Unclaimed Property Division in the name of the Aggrieved Employee thereby leaving no unpaid residue pursuant to the requirements of Code of Civil Procedure section 384. (¶4.4.3)

The Parties agree to use ILYM Group, Inc. as the Settlement Administrator. (¶1.2)

The proposed Settlement Agreement was submitted to the LWDA on July 7, 2025. (Declaration of Megan R. Lazar ("Lazar Decl."), ¶11 and Exhibit 3.)

All class members who do not opt out will release certain claims, discussed in detail below.

ANALYSIS OF

SETTLEMENT AGREEMENT

A. Does a
Presumption of Fairness Exist?

1. Was
the Settlement reached through arm's-length bargaining? Yes. On August 23, 2024, the Parties participated in an all-day mediation presided over by Tripper Ortman, Esq., and were ultimately able to reach an agreement. (Lazar Decl., ¶7.)

2. Were investigation
and discovery sufficient to allow counsel and the Court to act intelligently? Counsel represents that prior to mediation Plaintiff obtained, through informal discovery: (1) time and payroll records for 100% of the estimated 94 Class Members during the Class Period; (2) class data points, including the number of Class Members and Workweeks during the Class Period, the number of Aggrieved Employees and Pay Periods during the PAGA Period; (3) Defendant's wage and hour policy documents, including personnel manual; (4) all documents pertaining to Plaintiff available to Defendant, including Plaintiff's personnel and payroll records. (Id. at ¶6.)

3. Is counsel
experienced in similar litigation? Yes. Class Counsel is experienced in complex litigation, including wage and hour class action cases. (Id. at ¶¶44-48; Declaration of David D. Bibiyan ("Bibiyan Decl.") , ¶¶2-14.)

4. What percentage of class has objected?
This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2011) ¶ 14:139.18 ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.")

B. Is the
settlement fair, adequate and reasonable?

1. Strength of Plaintiffs' case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar at 130.)

Counsel has provided the following exposure analysis:

Violation

Exposure

Unpaid Wages

$69,622

Meal Breaks

$349,300

Rest Breaks

$332,235

Expenses

$53,895

Wage Statement Violations

$357,900

Waiting Time Penalties

$194,112

PAGA

$161,235- $1,612,350

TOTAL

$1,518,299.00 -
$2,969,414.00

(Lazar Decl., ¶¶15-35.)

2. Risk,
expense, complexity and likely duration of further litigation. Further litigation carried the possibility of non-certification and unfavorable rulings on the merits on the above legal issues.

3. Risk of maintaining class action status through trial. It would have been Plaintiff's burden to maintain the class action through trial.

4. Amount offered in settlement. The GSA of $500,000 represents approximately 17%- 33% of Defendant's maximum exposure on the claims alleged, which, given the uncertain outcomes, is within the "ballpark of reasonableness."

Assuming the requested deductions are taken in full, $263,750 will remain for distribution to class members. Assuming full participation, each Class Member will receive approximately $2,805.85 after all other deductions are taken from the settlement amount. [$263,750 /94 = $2,805.85]

5. Extent
of discovery completed and the stage of the proceedings. As stated above, it appears that Class Counsel has completed sufficient discovery in order to make an informed decision.

6. Experience and views of counsel. As indicated above, Class Counsel is experienced in class actions, including cases involving wage and hour violations.

7. Presence
of a governmental participant. This factor is not applicable here.

8. Reaction of the class members
to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object or opt-out. This factor becomes relevant during the fairness hearing.

SCOPE OF

RELEASE

Effective upon entry of Judgment, the Order granting Final Approval of this Settlement, and on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶5)

· For the duration of the Class Period, all Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from all claims that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint including: (1) all claims for failure to pay overtime wages; (2) all claims for failure to pay minimum wages; (3) all claims for failure to provide meal periods or compensation in lieu thereof; (4) all claims for failure to provide rest periods or compensation in lieu thereof; (5) all claims for failure to pay all wages due upon separation from employment; (6) all claims for failure to provide accurate wage statements; (7) all claims for failure to timely pay wages during employment; (8) all claims for failure to indemnify for business expenses; (9) all claims for failure to timely remit all vested vacation pay; (10) all claims asserted through California Business & Professions Code section 17200, et seq., arising out of the Labor Code violations referenced in the Operative Complaint; and (11) as well as those that that could have been alleged based on the facts in the Operative Complaint, including, but not limited to, the Fair Labor Standards Act, 29 U.S.C. §201, California Code of Regulations, title 8, sections 11010 and 11040; and applicable Industrial Welfare Commission Wage Orders;. Participating Class Members' only release these claims for the duration of the Class Period. Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. (¶5.2)

· For the duration of the PAGA Period, all Aggrieved Employees are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from any and all claims for PAGA civil penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice. (¶5.3)

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Named Plaintiff will additionally provide a general release and §1542 waiver. (¶5.1)

CONDITIONAL CLASS CERTIFICATION

A. Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified. (Amchem Products, Inc. v. Winsor (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk at 1807, fn. 19.) Because a settlement eliminates the need for a trial, when considering whether to certify a settlement class, the court is not faced with the case management issues present in certification of a litigation class. (Global Minerals & Metals Corp. v. Superior Court (2003) 113 Cal.App.4th 836, 859.)
Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba at 240.)

B. Analysis

1. Numerosity. There are approximately 94 Class Members. (Lazar Decl., ¶41.) Thus, numerosity has been sufficiently established.

2. Ascertainability. “A class is ascertainable, as would support certification under statute governing class actions generally, when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (Noel v. Thrifty Payless, Inc. (2019) 7 Cal.5th 955, 961.) Here, the class is defined above. Class members are ascertainable from Defendant’s records. (Lazar Decl., ¶40.)

3. Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

Counsel contends that this litigation is brought to resolve common issues that include whether Defendant failed to pay for all hours worked; whether Defendant provided full, timely and un-interrupted meal and rest periods, whether Class Members are entitled to premium pay for incomplete, untimely or interrupted meal or rest periods, among other claims. (Lazar Decl., ¶42.)

Counsel contends that Plaintiff’s claims are typical of those of other Class Members as Plaintiff: (1) is a non-exempt, hourly paid employee like other Class Members; (2) complains of not being paid for all time under Defendant’s control or suffered and/or permitted to work for Defendant; (3) did not receive full premium pay for meal periods that were not compliant with the Labor Code; (4) did not receive premium pay for rest periods that were not provided, among others. (Id. at ¶43.)

As to adequacy, Counsel contends there are no conflicts between the representative and the class and she is represented by adequate counsel. (Id. at ¶49; Declaration of Plaintiff Olmos, passim.)

4. Adequacy of class counsel. As indicated above, Class Counsel is experienced in class actions, including cases involving wage and hour violations. (Lazar Decl., ¶¶44-48; Bibiyan Decl., ¶¶2-14.)

5. Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

Since the elements of class certification have been met, the class may be conditionally certified at this time.

NOTICE TO
CLASS

A. Standard

California Rules of Court, rule 3.769(e) provides: "If the court grants preliminary approval, its order must include the time, date, and place of the final approval hearing; the notice to be given to the class; and any other matters deemed necessary for the proper conduct of a settlement hearing." Additionally, rule 3.769(f) states: "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement."

B. Form of Notice

The proposed notice is attached to the Amended Settlement Agreement as Exhibit A. The information provided in the proposed notice includes: a summary of the litigation, the nature and terms of the settlement, the proposed deductions from the gross settlement amount, the procedures for participating in, opting out of, or objecting to the settlement, and the time, date, and location of the final approval hearing.

C. Method
of Notice

Notice will be via direct mail. Not later than 14 days after execution of this Settlement Agreement, Defendant will simultaneously deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2)

Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice with Spanish translation. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Lazare of Address database. (¶7.4.2)

Not later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3)

If the Administrator, Defendant or Class Counsel is contacted by or otherwise discovers any persons who believe they should have been included in the Class Data and should have received Class Notice, the Parties will expeditiously meet and confer in person or by telephone and in good faith, in an effort to agree on whether to include them as Class Members. If the Parties agree, such persons will be Class Members entitled to the same rights as other Class Members, and the Administrator will send, via email or overnight delivery, a Class Notice requiring them to exercise options under this Agreement not later than 15 days after receipt of Class Notice, or the deadline dates in the Class Notice, which ever are later. (¶7.4.5)

Notice of Final Judgment will be posted on the administrator's website. (¶7.9.1)

D. Cost of Notice

The cost of settlement administration is estimated at $5,000. This amount appears reasonable. However, prior to the time of the final fairness hearing, the settlement administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

ATTORNEY FEES
AND COSTS

California Rules of Court, rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the Court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, "the court has an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether class counsel is entitled to $166,666.67 (33%) in fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees.

Counsel should also be prepared to justify any costs sought (capped at $25,000) by detailing how such costs were incurred.

PROPOSED
SCHEDULE OF SETTLEMENT PROCEEDINGS

The following schedule is proposed by the Court:

Preliminary Approval Hearing – August 4, 2026

Deadline for Serving Notices to Class
Members – ___________ (28 days after preliminary approval)

Deadline for Requests for Exclusion
and Objections – __________(45 days after mailing of notice)

Deadline for Class Counsel to File
Motion for Final Approval of
Settlement and Motion for Attorney Fees and Response to any Objections – _____ (16 court days prior to hearing)

Final
Fairness Hearing and Final Approval – _____

[1] Note: The Settlement Agreement still references
attorney's fees of 35%. (¶3.2.2)